MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2025

SECOND SEMESTER

Discipline Specific Core Course (DSC) - MG2DSCECO100 –

ESSENTIALS OF ECONOMICS - II

(2024 ADMISSION ONWARDS)

QP Code: 25900058

Part A

Multiple Choice Questions. Answer all questions.
Each question carries 1 mark.

1. a). An interdisciplinary field combining neuroscience, psychology, and economics to study decision-making.
2. c). Both a and b
3. b). Reduced economic efficiency
4. b). By creating societal expectations that shape choices
5. a). Primary market
6. a). Only earlier allotted securities are being traded among investors
7. a). Minimum reserve
8. a). Measure inflation at the production level
9. b). Product (Output) method
10. b). GDP at market price includes taxes but excludes subsidies

Part B

Short Answer Questions. Answer any 10 questions.
Each question carries 3 marks

11. Signaling to address asymmetric information- Signaling refers to an action that an individual with private information takes in order to convince others about his information. Signaling like warranties or educational qualifications can reduce uncertainty for the uniformed party, reduces the risk of adverse selection and can also lead to efficient market outcomes in a market with asymmetric information. [Hint: Give 1 mark for any relevant attempt, give 2 marks for correct definition of the signaling concept and give maximum marks for any two relevant ways to address asymmetric information along with the definition of signaling].

12. Functions of capital market- facilitating long term investments, mobilisation of savings, capital formation, risk management, economic growth and development. [Hint: Give 1 mark for any relevant attempt, give maximum marks for listing atleast three correct functions].
13. Functions of a stock exchange- providing a market for securities, mobilisation of savings, regulation and transparency, economic indicator. [Hint: Give 1 mark for any relevant attempt, give maximum marks for listing atleast three correct functions].
14. Equality of saving and investment leading to equilibrium in the two-sector model- Savings are leakages and investments are injections. If savings exceed investment, demand falls, leading to lower production and income. If investment exceeds savings, demand rises, increasing output and income. [Hint: Give 1 mark for any relevant attempt, give maximum marks for correct and complete answers].
15. Concept of "peer pressure" in economic decision-making-Peer pressure is the influence of the decisions of others on our own choices. Peer pressure can influence purchasing decisions of a consumer, influences choices of an investor, influences workplace decisions of employees and even economic policies like taxation can be influenced by the societal pressures. [Hint: Give 1 mark for any relevant attempt, give maximum marks for any relevant answer with sufficient explanation].
16. Path dependence- situations in which what is possible, or what is chosen, in the present depends on what has happened in the past. It refers to how past decisions and historical events shape future choices, often limiting alternatives even when better options exist. [Hint: Give 1 mark for any relevant attempt, give maximum marks for any sufficient explanation preferably with an example].
17. Agency function of commercial bank- Collection of cheques, bills and promissory notes, Transfer of funds, Execution of standing orders, Acting as a trustee and executor, Purchase and Sale of Securities. [Hint: Give 1 mark for any relevant attempt, give maximum marks for atleast three functions written correctly].
18. Money market- is a segment of the financial market that deals with short-term borrowing and lending, typically for periods of one year or less. Major money market instruments are T -bills, Commercial Papers, Certificates of Deposits, etc. [Hint: Give 1 mark for any relevant attempt, give maximum marks for correct and sufficient explanation].
19. Cyclical unemployment- occurs due to reduced demand for labour during economic recessions. [Hint: Give 1 mark for any relevant attempt, give maximum marks for correct and sufficient explanation].
20. Fiscal policy promoting economic stability- stabilizes the economy by controlling inflation, unemployment, and growth through spending and taxation. [Hint: Give 1 mark for any relevant attempt, give maximum marks for correct and sufficient explanation].
21. Formal financial sector- it is characterised by the presence of an organised, institutional, and regulated system which caters to the financial needs of the economy. [Hint: Give 1 mark for any relevant attempt, give maximum marks for correct and sufficient explanation].
22. Conflict of rationality with revenge- revenge is driven by anger whereas rationality considers long-term consequences and logical analysis, revenge causes retaliation while rational thinking aims at problem-solving, revenge may harm relationships and social harmony whereas rationality promotes harmony and fairness. [Hint: Give 1 mark for any relevant attempt, give maximum marks for any relevant explanation]. **Value liberally**.

23. Names of any three types of NBFIs in India- Asset Finance Companies, Chit Fund Companies, Housing Finance Companies. [Hint: Give maximum marks for any three correct answers].
24. Financial services- Financial services are rendered by the financial intermediaries helps in bridging the gap between lack of knowledge on the part of investors and the increasing sophistication of financial instruments and markets. The financial services are vital for creation of firms, industrial expansion, and economic growth. Some financial services are funds intermediation, payments mechanism, provision of liquidity, risk management, and financial engineering. [Hint: Give 1 mark for any relevant attempt, give maximum marks for any relevant explanation].
25. An example of a government policy that addresses moral hazard in the insurance market- government can introduce taxes to curb risky behaviours or introduce subsidies to promote healthy choices. can introduce deductibles and co-payments. [Hint: Give maximum marks for any relevant answer].

Part C

Short Essay Questions. Answer any 5 questions.
Each question carries 6 marks.

26. Impact of adverse selection in market efficiency in both the insurance and used car markets- Adverse selection occurs when one agent in a transaction knows about a hidden characteristic of a good and decides whether to participate in the transaction on the basis of this (private) information. In insurance market, high-risk individuals are more likely to buy insurance, while low-risk individuals may avoid it due to high premiums. This leads to higher costs for insurers, forcing them to raise prices or limit coverage, reducing overall market efficiency. In used car market, sellers know more about a car's condition than buyers. If buyers fear purchasing a defective car (a "lemon"), they may offer lower prices, discouraging sellers of high-quality cars from participating. This results in a market dominated by low-quality vehicles, reducing trade volume and efficiency. [Hint: Give 2 marks for any relevant attempt, give 4 marks for briefly stating the concept and its impact on the specified markets, give maximum marks for correct and sufficient explanations].
27. Characteristics of a good financial system- A good financial system ensures stability, efficiency, and accessibility in an economy. Characteristics are liquidity, transparency, efficiency, security and stability, accessibility, regulation and governance, innovation and adaptability. [Hint: Give 2 marks for any relevant attempt, give 4 marks listing out atleast four characteristics, give maximum marks for answers with brief description of characteristics].
28. Nominal interest rate and describe its characteristics- Nominal interest rate is the stated rate of interest on loans or investments, not adjusted for inflation. It reflects the cost of borrowing and the rate of return without accounting for the changes in the value of money. [Hint: Give 2 marks for any relevant attempt, give 4 marks for definition and listing out atleast four characteristics, give maximum marks for answers with brief description of characteristics].
29. Features of financial instruments- Financial instruments are assets that can be traded or exchanged, representing monetary value. Its features are liquidity, divisibility, risk and return, maturity period, operates under legal framework, tradeable in financial markets. [Hint: Give 2 marks for any relevant attempt, give 4 marks for listing out

atleast four features, give maximum marks for answers with brief description of features].

30. Positive and negative economic consequences of peer pressure- Positive economic consequences can be productivity enhancement, developing healthy financial habits. Negative economic consequences are it may encourage overspending among individuals, may promote unethical business practices, may lead to risky investments. [Hint: Give maximum marks for any relevant answer]. **Value liberally**.
31. Functions and significance of the stock exchange in the financial market- Functions are:-provides market for securities, encourages mobilisation of savings, facilitates capital formation, provides an economic indicator. Significance- encourages investment, enables business to access capital for expansion and innovation, enhances financial stability, promotes economic development. [Give minimum 3 marks for relevant attempt, give maximum marks for correct answers with sufficient explanation].
32. Objectives of monetary policy-price stability, economic growth, employment generation, exchange rate stability, financial stability. [Hint: Give 3 marks for listing out the objectives, give maximum marks for correct answers with sufficient explanation].
33. Different methods of calculating national income- Income Method – The approach sums up all earnings generated in an economy, including wages, rent, interest, and profits. Expenditure Method – The method calculates national income by adding up all spending on final goods and services, including consumption, investment, government spending, and net exports (exports minus imports). Product (Value-Added) Method – The method measures national income by calculating the total value of goods and services produced in various sectors, subtracting the cost of intermediate goods to avoid double counting. [Give 3 marks for briefly stating the methods, give maximum marks for correct answers with sufficient explanations about each method].

34. Comparison of the functions of the money market and the capital market- the purpose of money market is to provide short term liquidity whereas capital market facilitates long term investment. Money market is for short term lending and borrowing, for one year or less whereas capital market is for long term, for more than one year. Common money market instruments are treasury bills, commercial papers, certificates of deposits, etc. whereas capital market instruments include stocks, bonds, debentures. Money market involves lower risk due to short term maturity whereas capital market involves higher risks. Money market instruments are highly liquid whereas capital market instruments are less liquid. Money market is managed by the central bank whereas capital market Regulated by stock exchanges and financial authorities like SEBI in India. [Hint: Give 3 marks for listing atleast three differences, give maximum marks for detailed comparisons with sufficient description].

35. Effects of moral hazard on the insurance market and provide potential solutions- Moral hazard occurs when individuals take greater risks because they are insured, knowing they won't bear the full financial consequences. This can negatively impact the insurance market in different ways such as increasing claims, insurers may raise premiums, can lead to adverse selection. Potential solutions are deductibles, copayments, policy restrictions, monitoring, etc.[Hint: Give 3 marks for any relevant attempt, give maximum marks for answers with relevant and sufficient explanation].

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